Spotlight Transcript: Cabinet Decisions

News On Air • Total Word Count: ~1,550 words

Chapter 1: Introduction to Cabinet News

[0:03] Anchor (Shrea Patak): Spotlight. [music] This is Akashwani in the program spotlight. Now we bring you a discussion on Union Cabinet decisions. The participants are Santos Tiwari, economic analyst and Shrea Patak, anchor. The union cabinet has taken several significant decisions today from a 10,000 crore growth fund and the setting up of the integrated transport and **logistics** authority that is ITLA to a **resolution** greeting prime minister Narendra Modi on completing 25 years as the head of a government from his tenure as Gujarat Chief Minister to his tenure as a prime minister. To understand the economic and developmental **significance** of these decisions, we are joined by economic analyst Mr. Santos Tiwari. Santos Tiwari, welcome to our program spotlight.

[1:03] Santos Tiwari: Thank you Shrea. Thank you for having me.

Chapter 2: MSME Growth Fund Initiatives

[1:05] Anchor: Before starting with the questions, can you please let our listeners know what do we actually mean by small and medium enterprises?

[1:14] Santos Tiwari: Small and medium enterprises. I will provide you a simple **analogy** or simple answer to this. At the lower end of the companies, the enterprises, you have microenterprises and then you have small and then medium enterprises. Size wise if you look at it I'm not giving you numbers but I am saying the ladder wise the microenterprises which are the smallest of the enterprises they are at the lowest level and then you have small and then medium enterprises and then it goes to large enterprises. So when we say that the cabinet has decided for this theme fund which has been announced today. So that was the gap which was there.

There are several plans, several windows for microenterprises and large industries they have their windows for equity **infusion** and going to the next level etc. But the small and medium enterprises had this gap and this fund basically bridges that gap. To answer your questions in a simple way, these small and medium enterprises are the vehicles which will take India growth story to the next level.

Microenterprises need to go to the next level as small and medium enterprises to become very very important in the value chain, the production value chain of India growth story. But the way tech-led growth, technology-led growth is happening in India and manufacturing is coming up in tech-led growth industries, these small and medium industries which sit in between micro and large industries, they would be the real vehicles of growth going ahead and that is why this is the government's focus is to basically create champions out of these mid-rung mid-level companies who could then become global companies and get into a situation where their **innovation**, their fund growth, their scale of operation and everything quality innovation that makes India export competitive and expands India's corporate basket also.

[3:01] Anchor: Yes sir very rightly said. So sir like as you mentioned about the union cabinet decision that was taken today what do you think is the key objective behind the 10,000 crore growth fund that has been announced today?

[3:16] Santos Tiwari: I a little bit explained it what was the need for this fund. As I said that when you want to go to a bigger scale, when you want to go to a scale, you know, where you have to bring in lot of innovation, you need funds and as far as small and medium sector enterprises are concerned, there was a realization that there is a need for fund support for these companies especially in the backdrop of the way I explained that now these companies had to bring in the expertise, bring in their scale and bring in their effectiveness to India growth story and India manufacturing story growth. Now when you come up with this kind of a fund then obviously you bridge this gap.

Chapter 3: Focus on Tier 2 and 3 Growth

[4:32] Anchor: The fund will have a major focus on manufacturing and MSMEs in tier 2 and tier three cities. So how significant is this focus for balanced industrial growth?

[4:47] Santos Tiwari: So this is very very significant. Especially if you look at the way corporates are coming up, the companies are coming up, the tier 2 tier three cities the India growth story the India's production story is going to tier 2 and tier three cities now. Economic survey at various levels in government policymaking **ecosystem** this has been talked about that these ecosystems have to be developed in the tier 2 and tier three cities unless until you go to the tier 2 tier three cities and start supporting the small and medium sector there you won't get the exact expansion of the industrial scale that India growth story requires.

Chapter 4: Integrated Logistics Authority

[6:41] Anchor: So moving on to the second cabinet decision that was taken today that was a setting up of integrated transport and logistics authority. So coming to ITLA what difference can an integrated approach to transport and logistics planning make for India?

[6:57] Santos Tiwari: Yeah and you know here also the problem is that there India in terms of transport and logistics today to support that kind of a growth story and the production growth story that we talked about you need an integrated logistics transportation authority. You need a system which integrates every sector there are different sectors led by different ministries and then sometimes it was felt always in fact that you know you need an integrated authority which will help a bring a coordinated mechanism B the scattered policymaking ecosystem becomes one so that you can in a **cohesive** manner boost every policy bring in **facilitation** and for the next level of growth you have a policy which is long-term also.

So this authority integrated transport and logistics authority will have a major major objective in preparing a **comprehensive** national transport master plan with a planning horizon of 10 years or more which will cover roads, railways, ports and shipping, civil aviation, inland waterways, coastal shipping, urban mobility and logistics. It will analyze projects, create a database, and monitor impacts of bigger projects.

Chapter 5: Economic Shifts in 25 Years

[9:13] Anchor: So sir like today the cabinet also passed a greeting to Prime Minister Narendra Modi as he has completed 25 tenure as the head of the government. From an economic perspective what key shifts would you identify across this 25 year period?

[9:27] Santos Tiwari: The major shift in these 25 years is how you implement big projects. Starting from Gujarat where Prime Minister Narendra Modi ensured that the state is getting big projects and not only getting big projects but it is implementing those projects also getting in big investments in the country. And the linking factor in these 25 years has been a constant **pursuit** for reforms at the ground level when it comes to supporting industry, supporting people, supporting economic growth. All these things have happened but the core factor has been an **appetite** to bring in reforms which could help the industry which could help economic growth.

Chapter 6: Digitalization and Future Outlook

[12:02] Anchor: Over these 25 years how has the focus of India's economic policy evolved in areas such as infrastructure, manufacturing, **entrepreneurship** and digitalization?

[12:10] Santos Tiwari: Absolutely. These are four areas you mentioned are the areas you know industrialization. Another very important area which has changed types of not only people but of industry also is **digitization**. Digitization today is the story of India to the world. Aadhaar led digitization, UPI everything these are all innovations that have happened and that have changed India's life you know at the very village level to the industry level. This is all **transformational** and that has happened in last one and a half decade or so.

[14:05] Anchor: Thank you so much sir for sharing your thoughtful insights and telling that how the union cabinet decisions that was taken up today will contribute to make India a developed nation. Thank you so much sir for joining the program spotlight.

[14:20] Outro: You were listening to a discussion on union cabinet decisions. The participants were Santos Tiwari, economic analyst and Shrea Patak, anchor. This program was produced and presented by the news services division of Akashwani. You can listen to it on our mobile app, News on AIR.